(11 & 12)

IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

CP(CAA)/24 & 25(CHE)/2022
in
CA(CAA)/93 & 96(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Between

Ms/. FLOMETALLIC INDIA PRIVATE LIMITED
CIN.NO. U28113TN2010PTC075244
Reg. Off.,
67, Chamiers Road,
Chennai – 600 028

... Applicant / Transferor Company

And

M/s. BRAKES INDIA PRIVATE LIMITED
CIN NO. U35999TN1962PTC004928
Reg. Off.,
21, Patullos Road,
Chennai – 600 002

... Applicant / Transferee Company

*Order Pronounced on **29th June 2022***

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Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): T.K. Bhaskar, Advocate

COMMON ORDER

Per: **Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petitions have been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation, (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **M/s. FLOMETALLIC INDIA PRIVATE LIMITED** (for brevity "Transferor Company") with **M/s. BRAKES INDIA PRIVATE LIMITED** (for brevity " Transferee Company") under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also commonly annexed as 'Annexure 14' to the typed set filed along with the Petition.

3. From the records, it is seen that in the First Motion Application filed before this Tribunal vide CA(CAA)/93 & 96/CHE/2021 wherein the Transferor and Transferee Companies have sought for holding and dispensation of the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Petitioner Companies. Based on such

application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its order dated 08.12.2021 issued directions for dispensation and holding of meetings. Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies for sanction of the Scheme of Amalgamation by this Tribunal.

4. In the second motion application filed by the Petitioner Companies, this Tribunal had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Line", English (All India Edition) and "Makkal Kural", Tamil (Tamil Nadu Edition).

5. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the Tribunal in one issue of "Business Line" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 11.04.2022. It is also seen

that notices have also been served to (i) The Regional Director, Southern Region, Chennai on 05.04.2022, (ii) Registrar of Companies Chennai on 05.04.2022, (iii) Assessing Officer, Income Tax Department on 05.04.2022, (iv) Official Liquidator on 05.04.2022, and the proof of the same by way of acknowledgements/receipts have been enclosed with the typed set filed along with the Petitions. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

6. The Regional Director, Southern Region, (for brevity 'RD') Chennai to whom the notice was issued has filed his Report and has stated that Clause 17 of Part II of the Scheme provides for protection of the interest of the permanent employees of the Transferor Company. It was also stated that as per the report of Registrar of Companies, both the Petitioner Companies are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies. Thus, the RD after examining the Scheme, has decided not to make any objection to the Scheme.

7. The Official Liquidator has filed his report on 20.05.2022, and has stated that the affairs of the Transferor Company were not conducted in a manner prejudicial to the interest of its members, or creditors or to the public, as per the provisions of the Companies Act, 1956 / Companies Act 2013, whichever is applicable. From the above observations made by the Chartered Accountants, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remunerations payable to the Auditor who has investigated into the affairs of the Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of *Rs.75,000/- (Rupees Seventy Five Thousand Only) plus GST at applicable rates* to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

8. Despite notice being served, there is no representation from the Department of Income Tax and also Reserve Bank of India and in the circumstances, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

9. The Petitioner Companies have filed the certificate of the Independent Statutory Auditor in relation to compliance with the

Accounting Standards with respect to the Scheme. Thus, the Petitioner Companies have complied with proviso to Section 230 (7)/ Section 232 (3) of the Companies Act, 2013.

10. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings are pending against the petitioner companies under Section 235 to 251 of the Companies Act, 2013 or under relevant provision of the Companies Act, 1956.

11. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal, sanctions the Composite Scheme of Arrangement, annexed as Annexure "N" with the Company Petitions as well as the prayer made therein.

12. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

13. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

14. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(iv) That the Appointed date for the Scheme shall be **1st July 2021** as specified in the Scheme itself in terms of Section 232 (6) of the Companies Act, 2013.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 12.1 of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar

of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

15. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

SAMEER KAKAR
MEMBER (TECHNICAL)

-SD-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

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